



External financing

When business growth or unforeseen expenses cannot be met using internal sources of financing, such as retained profit, organizations must rely on finding funds from lenders or investors.

How it works

External financial support comes in various forms, including bank loans and issuing shares. The available sources of outside financing depend on the amount a company requires, and whether the money is needed to resolve a short-term issue, such as cash flow, or for the long-term growth of the business. While short-term financing is easier to secure, finding larger sums for an

expansion is more challenging. A company that is either already listed on a stock exchange or is preparing to enlist will be able to raise the capital through the sale of shares. However, an unlisted company may struggle to raise a comparable amount. A company with a large amount of debt will also find it hard to raise funds, since lenders or investors will see the business as risky.



NEED TO KNOW

- **Term loan** A bank debt repaid over a set period of time
- **Loan note** A form promising payment to the holder at an agreed future date
- **Eurobond** A bond issued in a currency other than the currency of the country in which it is issued

Raising external financing

Generating funds from external sources can be a challenge, especially when securing investors. However, revenue does not necessarily need to take the form of a loan. There are a number of strategies that can be implemented through working with external parties in order to provide a company with good working capital.

80%
of external
corporate
financing is
provided by
domestic banks

Short-term financing

A range of financial agreements that help provide a company with immediate funds can be made with outside parties as a way of raising cash short-term.



Bank line of credit

Borrow from business checking account up to an agreed limit, with interest typically at a high rate.



Debt factoring

Sell unpaid invoices to an external source for an agreed amount in order to receive immediate payment minus a commission fee.



Invoice discounting

Borrow money against sales invoices customers are yet to pay (again, often at a disadvantageous rate).

